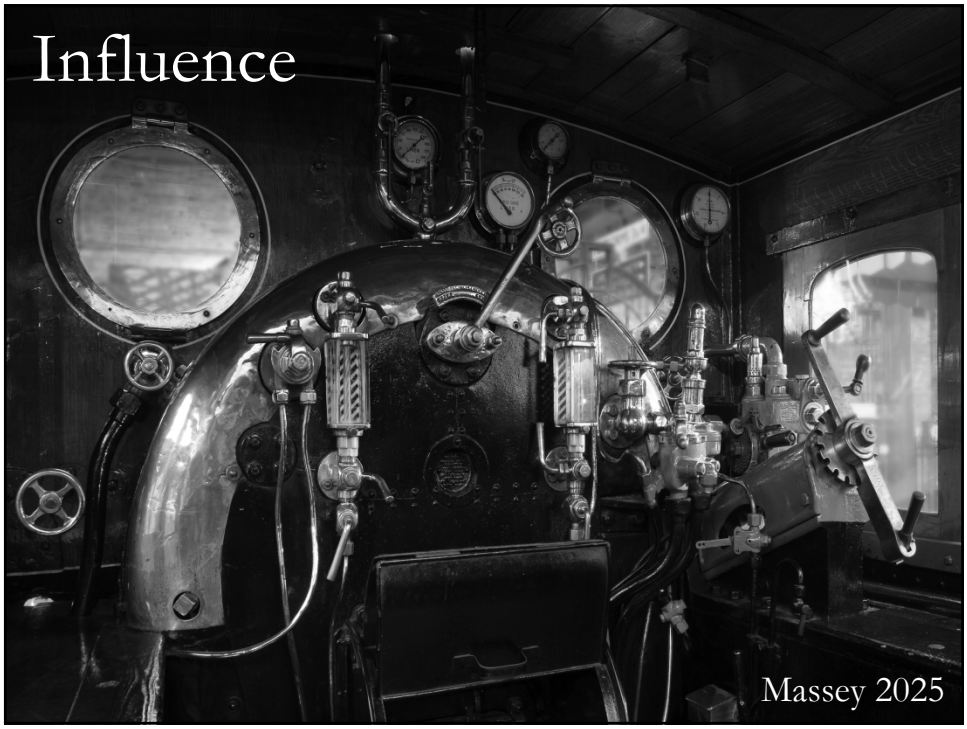


1

Course Admin

"Triple Helix" Feedback

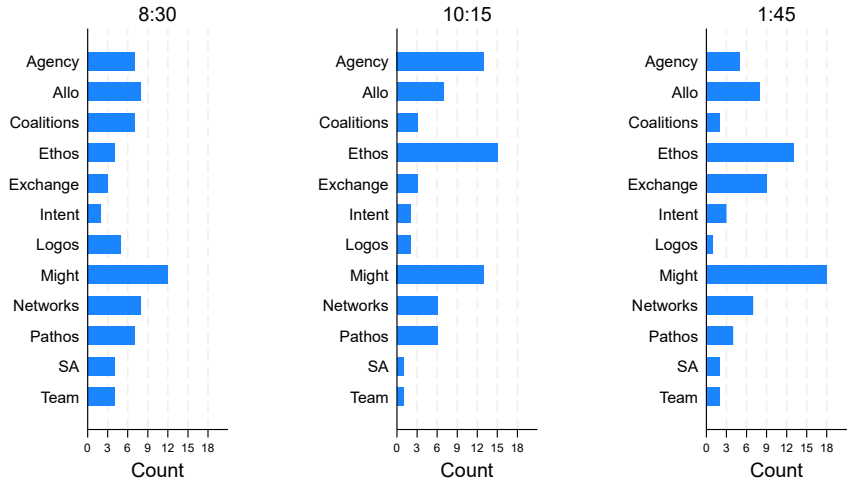
- Survey about the exercise and your counterparties due EOD Friday.

Next Class (Dec 1): Status (a "caution label" for the entire course)

- Read
  - Kramer, "The Harder They Fall", HBR.
  - Sapolsky, "The Baboons: Nick", a chapter from A Primate's Memoir
- Survey
  - Due 8am day of class

2

Which tool do you most want to further develop?



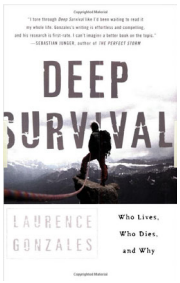
3

A mini lecture on Situation Awareness…

4

"We come from cities and learn to expect things to stay the same. But they don't. And it kills us, quickly or slowly."

- Survival instructor





5

AIG mortgage trader, 2008



"The problem is that something else came along that we thought was the same thing as what we'd been doing."

Michael Lewis, The Big Short (2010)

6

Situation Awareness



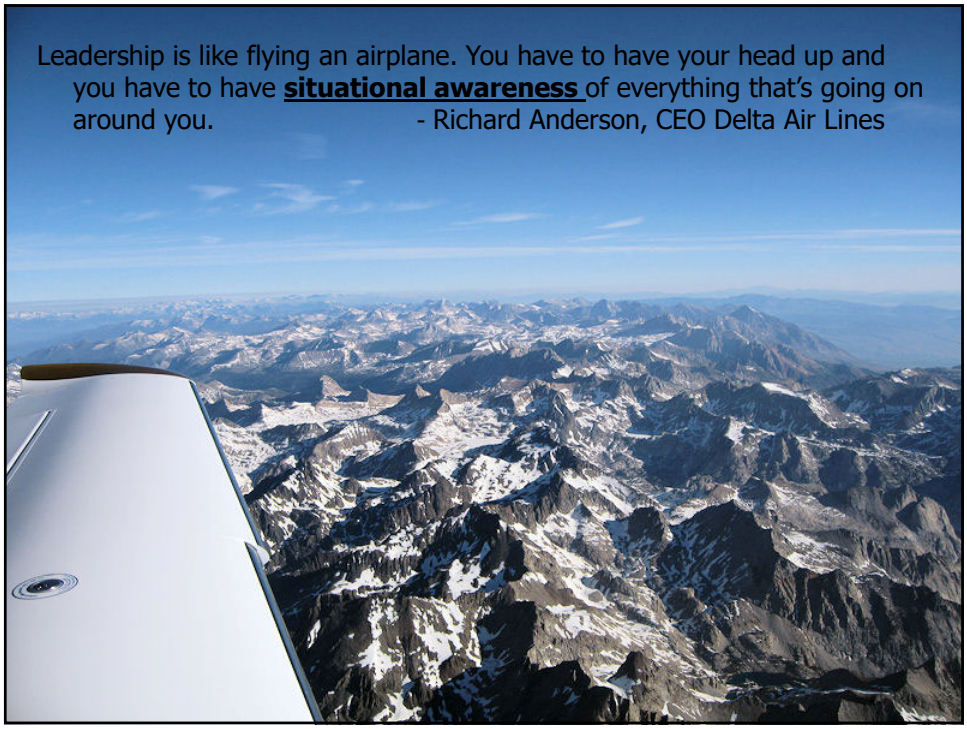
There are these two young fish swimming along, and they happen to meet an older fish swimming the other way, who nods at them and says, “Morning, boys, how's the water?"

The two young fish swim on for a bit, and then eventually one of them looks over at the other and goes, "What the hell is water?“

- David Foster Wallace -

7

Leadership is like flying an airplane. You have to have your head up and you have to have **situational awareness** of everything that’s going on around you. - Richard Anderson, CEO Delta Air Lines



8

Situation Awareness

Formally: "The perception of elements in the environment within a volume of time and space, the comprehension of their meaning, and the projection of their status in the near future." (Endsley 1995)

Informally: The extent to which your perception matches reality.

9

Situation Awareness

Originally a military concept

Important in aviation and heavy operations

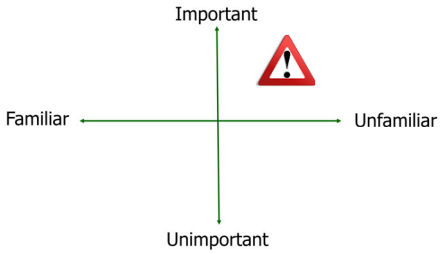
We're extending to organizational navigation

10

Situation Awareness

A critical issue is how these elements change over time, especially regarding…

- Importance
- Risk
- Uncertainty



11



Kennedy, during the Cuban Missile Crisis: "It isn't the first step that concerns me, but both sides escalating to the fourth and fifth step – and we don't go to the sixth because there is no one around to do so."

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Toward better SA

Build personal habits

- Mindfulness meditation
- Network maintenance
- Cultivate vigilance for new/unfamiliar environments

Bake it in structurally

- Which meetings do you attend? How attentively?
- What publications do you routinely read?
- Who do you meet with regularly?
- Where do you sit? What "traffic flow" do you place yourself in?

13

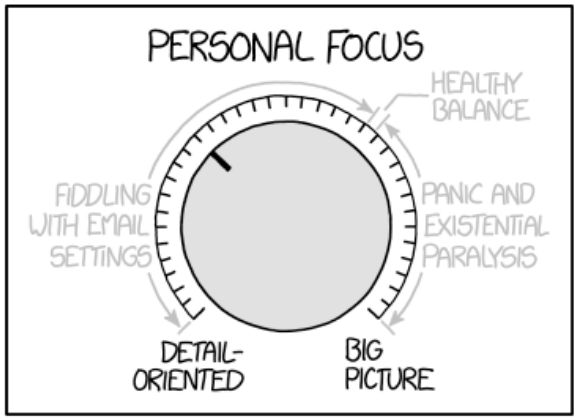
Toward better SA



You must find ways to step away from your day-to-day and get in touch with the bigger picture.

14

xkcd's take (#1796)



Rx: It's about learning to turn this dial up and down, as needed.

15

Coalitions

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Last updated: November 10, 2014 7:48 pm

Putin snubs Europe with Siberian gas deal that bolsters China ties

Lucy Hornby in Beijing Author alerts



Russian President Vladimir Putin and Chinese President Xi Jinping at the Asia-Pacific Economic Cooperation summit in Beijing

17

The news always brings fresh examples

Israeli opposition parties strike coalition deal, paving the way for Netanyahu's exit

By Hadas Gold, CNN
Updated 4:22 AM EDT, Thu June 3, 2021

The Big Ten Lands Oregon and Washington, Leaving the Pac-12 Bereft

The Big Ten booms to 18 schools with the move, powered by TV money, and the once-great Pac-12 dwindles to four after three more schools leave for the Big 12.

By Billy Witz
Aug. 4, 2023

18



19

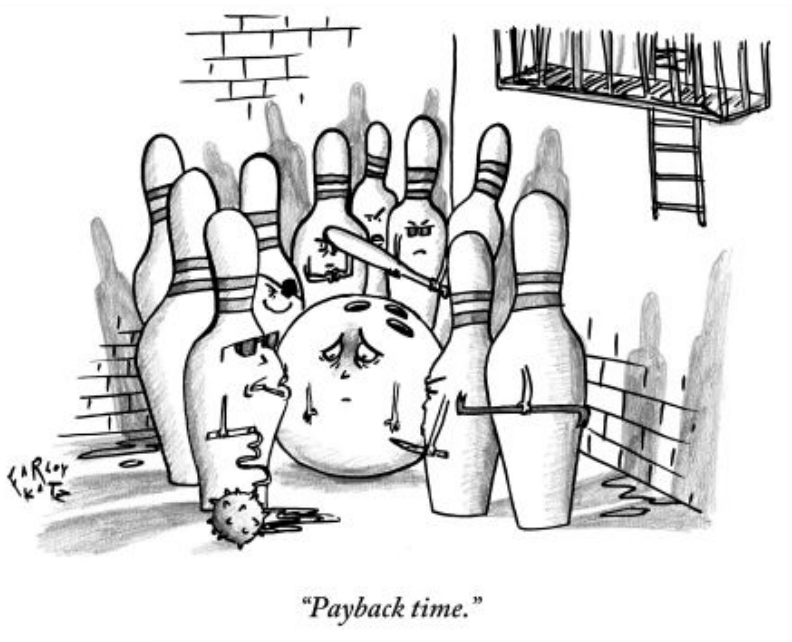
The philosophy of coalitions



"Whilst [people] are linked together, they easily and speedily communicate the alarm of any evil design. They are enabled to fathom it with common counsel, and to oppose it with united strength. Whereas, when they lie dispersed, without concert, order, or discipline, communication is uncertain, counsel difficult, and resistance impracticable."

- Edmund Burke (1729-1797)

20



"Payback time."

21



22

Some notable coalitions

23

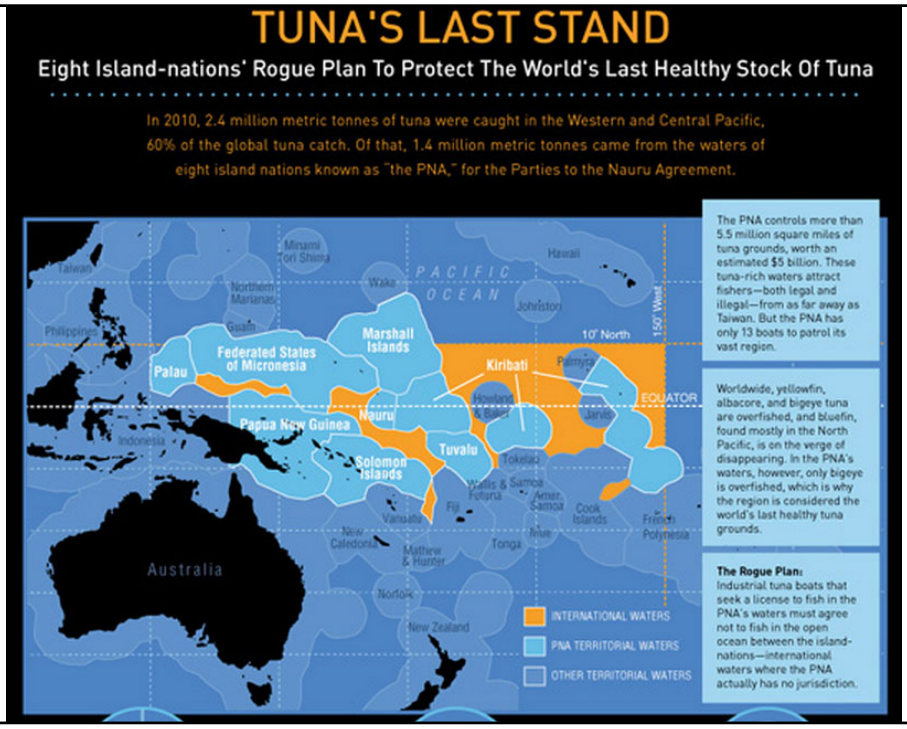


24



All 6 "Friends" cast members paid same in seasons 3-10
(including holding out for $1mm/episode/actor in the final years)

25



26

Example from a recent MBA (p1 of 2)

In my last job, I worked with a team of executives employed across four different organizations who all served as the leadership team of the government-funded project I was responsible for managing. The umbrella organization we were all subcontracted to had experience providing consultation and training to mental health clinics to help improve their clinical services; we were being asked to create a new offering that focused on their business operations.

There were a few members of my team who were very experienced in providing clinical trainings to clinics, and they felt strongly that we should use the same program model to deliver business services. However, as the sole client contact, I heard from our clients that using this model wasn't working for their business needs. The most junior member of the team by at least 15 years, when I tried to communicate this to the entire team and propose a new solution, I was quickly shut down and dismissed by the lead clinical expert.

I identified that two of my team members who came from business and operations functions were more sympathetic to my opinions; they just didn't want to actively disagree with the other executives, preferring to pick their battles on other issues. I began to meet with these team members individually, sharing my ideas and refining based on their feedback.

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Example from a recent MBA (p2 of 2)

Once I had their buy in, I set up meetings with more conservative team members who came from a range of business and clinical backgrounds, telling them that the ideas had come from their fellow executives and asking them for their feedback and input. I also engaged different team members in helping me build out parts of the idea that I knew aligned with their own personal goals; for example, I asked our financial expert to help me think through the strategy for revamping our financial modeling training and lead the training for the initial pilot.

When I finally presented a new proposed program model to the entire team, only the clinical lead had never heard the proposal before, and when everyone else backed the idea, he acquiesced as well. I used this strategy of individual check ins, idea attribution, and goal alignment to push through two new major programs throughout my three years.

In one of our last team meetings prior to leaving my job, our clinical lead declared our latest program had been our biggest and best program roll out yet, and that he had known from the very beginning that it was destined to be a success.

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Most important truths re coalitions

1) They are ubiquitous
2) They reshape the game
3) They are driven by self interest
4) They are dynamic
5) They depend on trust

29

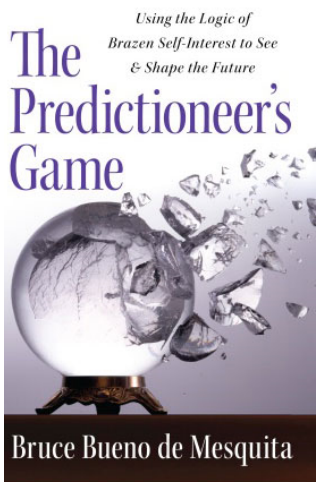
Most important truths re coalitions

1) They are ubiquitous

2) They reshape the game
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4) They are dynamic
5) They depend on trust

30

"Conflicts almost always have hidden solutions"



"In essence, [the model] looks for possible groupings of players who would be willing to shift their positions toward one another if they thought that doing so would be to their advantage."

"The computer model, in short, predicts coalitions."

"His model often produces surprising results. It methodically works through not only the obvious coalitions we know and expect but also the invisible ones that we don't."

"Years of peering at his model have shown him that conflicts almost always have hidden solutions."

31

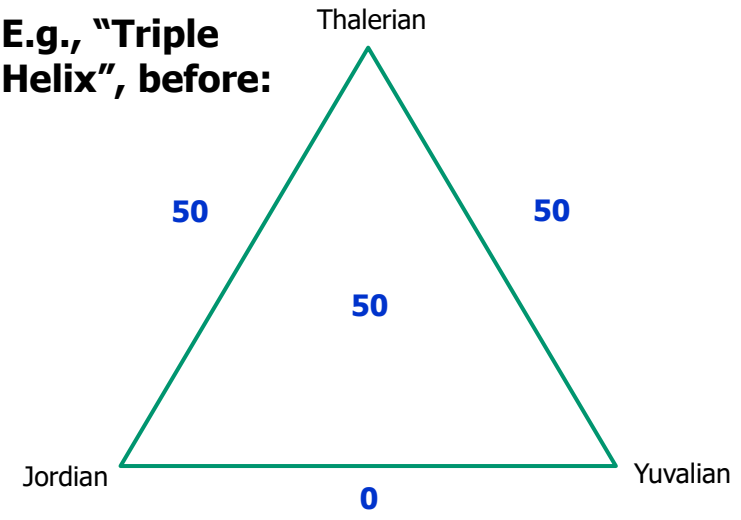
Most important truths re coalitions

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32

Coalitions change the structure

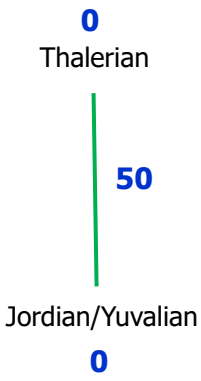
E.g., "Triple Helix", before:



33

Coalitions change the structure

"Triple Helix" After:



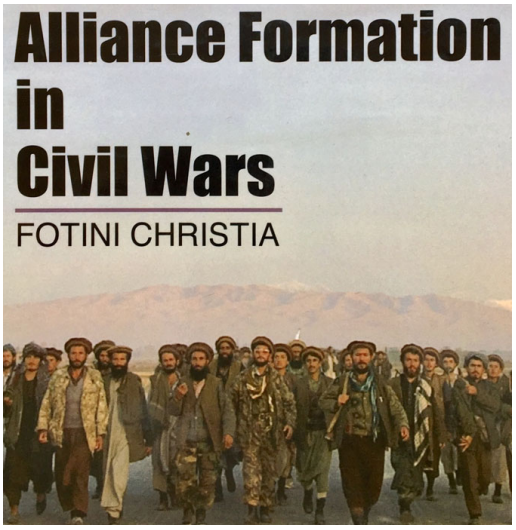
34

Most important truths re coalitions

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5) They depend on trust

35

Self-interest dominates in coalitions



Empirical study of multi-party civil wars, 1816-2007 (n=53).

"History is replete with warring leaders changing sides."

"Warring groups will aim to side with the winner, so long as they can have a credible guarantee that the winner will not strip them of power once victory is accomplished."

"There appears to be no such thing as an impossible alliance."

36

Self-interest dominates in coalitions

There is a very rational calculus available:

EV(Ally with A) <=> EV (Ally with B),
p(A Wins) * E(Payoff | A Winning) vs.
p(B Wins) * E(Payoff | B Winning)

In short, which party is likely to win, and how will I be treated as a partner if they do?

Can make for some surprising bedfellows

"Baptists & Bootleggers" (Bruce Yandle, FTC, 1983)

1920-1933: Prohibition in the U.S.

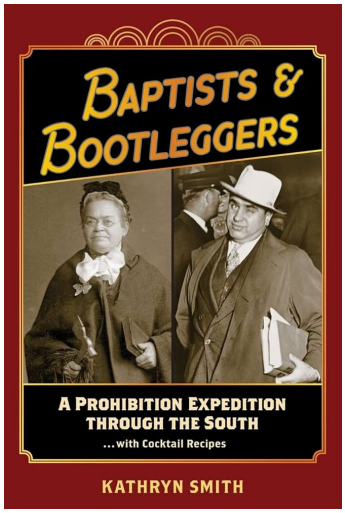
Later: "Blue laws" restricting the sale of alcohol

- E.g., can't buy in supermarket on Sundays

Each partner plays a key role

- "Baptists" – religious leaders provide moral high ground
- "Bootleggers" – bar owners provide campaign funds

Yandle: "Durable social regulation occurs when it is demanded by both of two distinctly different groups."



More recent example

THE WALL STREET JOURNAL.
U.S. EDITION ▾ Tuesday, January 15, 2013 As of 6:46 PM EST



BUSINESS WORLD | January 15, 2013, 6:46 p.m. ET

Green Energy's Baptists and Bootleggers

If Warren Buffett likes solar, it's not because the technology is cutting-edge.

Political scholars use the term "baptists-and-bootleggers" to describe the coalitions of do-gooders and mercenaries that gather around such agendas. The pitch wouldn't be complete without claims about how, with enough transmission (after all, the sun is always shining and the wind always blowing somewhere), renewables are a real answer to America's energy needs, not just a costly indulgence

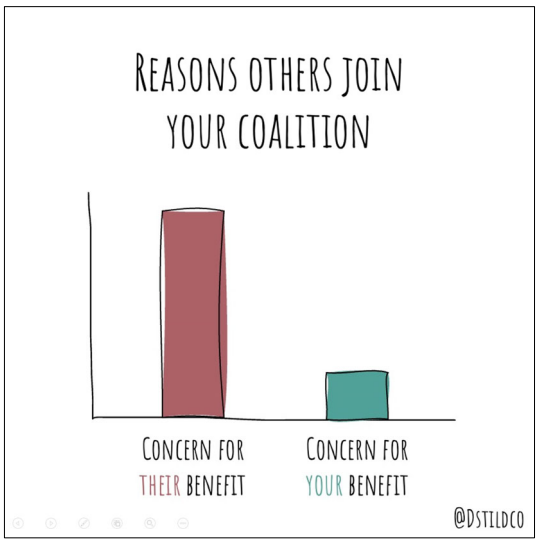
FOREIGN AFFAIRS

IS MAJOR REALIGNMENT TAKING PLACE IN THE MIDDLE EAST?

Colin P. Clarke and Ariane M. Tabatabai 10/31/18

"To be sure, Iran, Russia, and Turkey all still harbor a certain distrust of one another. And their distrust is rooted in a history of rivalry. After all, the three countries have fought one another in devastating wars and competed for power in the region. At the same time, they currently have a number of shared interests and common threat perceptions, leading them to work closely together in several areas, including in the military and economic realms."

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42

Self-interest dominates in coalitions

Implications?

- You have to bring value
  - As always: Relative to your partners' alternatives
- Coalitions are dynamic/fragile
  - Others can poach your coalitional partner

43

Most important truths re coalitions

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44

Self-interest dominates in coalitions

U.S. Speaker Boehner:

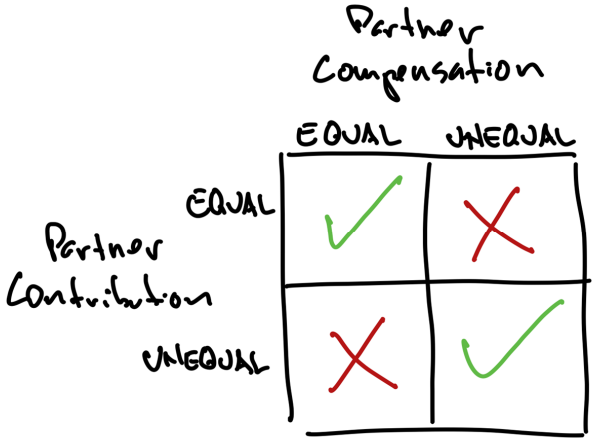
"I like to describe my job as trying to get 218 frogs in a wheelbarrow long enough to pass a bill. It's hard to do."

- LA Times, 1/24/14



45

Coalition Stability



46

Exceptions to the Equal-Unequal rule?

Differing perceptions
- An unequal contributor believes he is equal, or
- An equal contributor is believed to be unequal

Outside payments
- Equal on something symbolic, unequal elsewhere

Small stakes
- Easier to weight other considerations when the cost is low

Inertia
- Just give it time...

47

Most important truths re coalitions

1) They are ubiquitous
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4) They are dynamic
5) **They depend on trust**

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Trustworthiness matters

People are vulnerable when declaring for a coalition

- What if their partners don't stand strong?

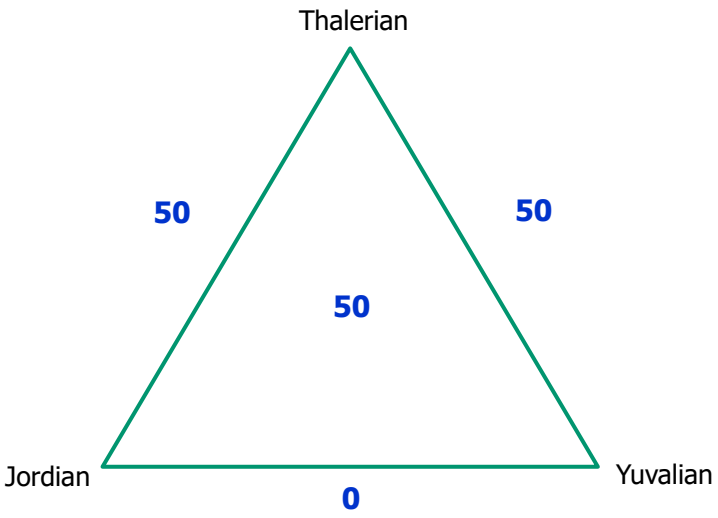
Even if they'd rather be in a coalition, they'd rather look after themselves than be left behind by supposed partners.

How to establish mutual trust? What erodes it?

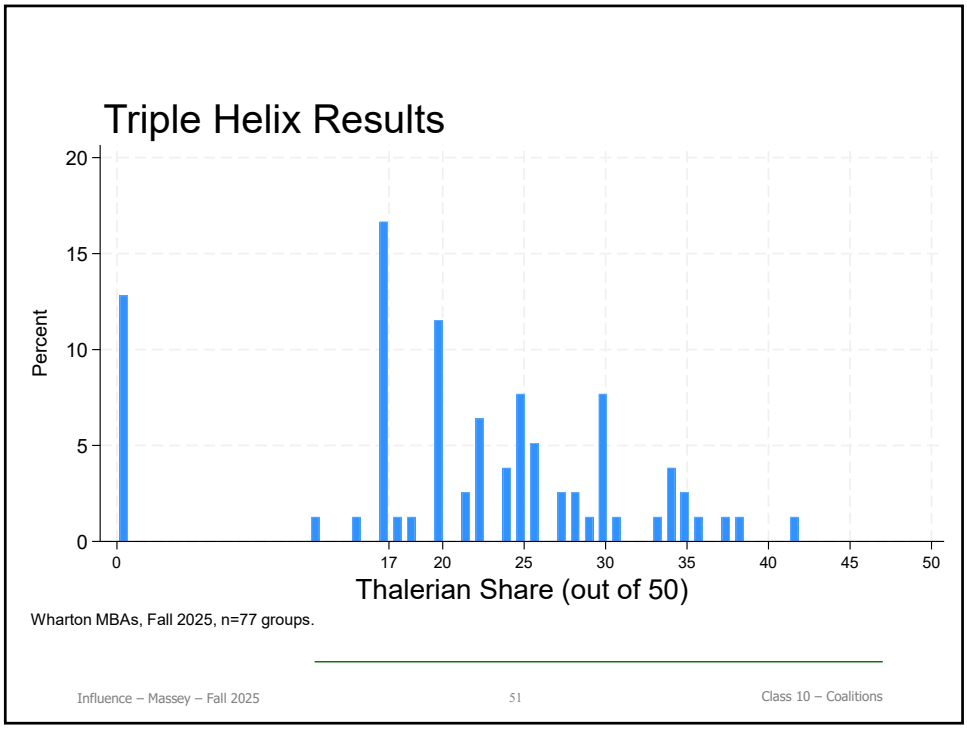


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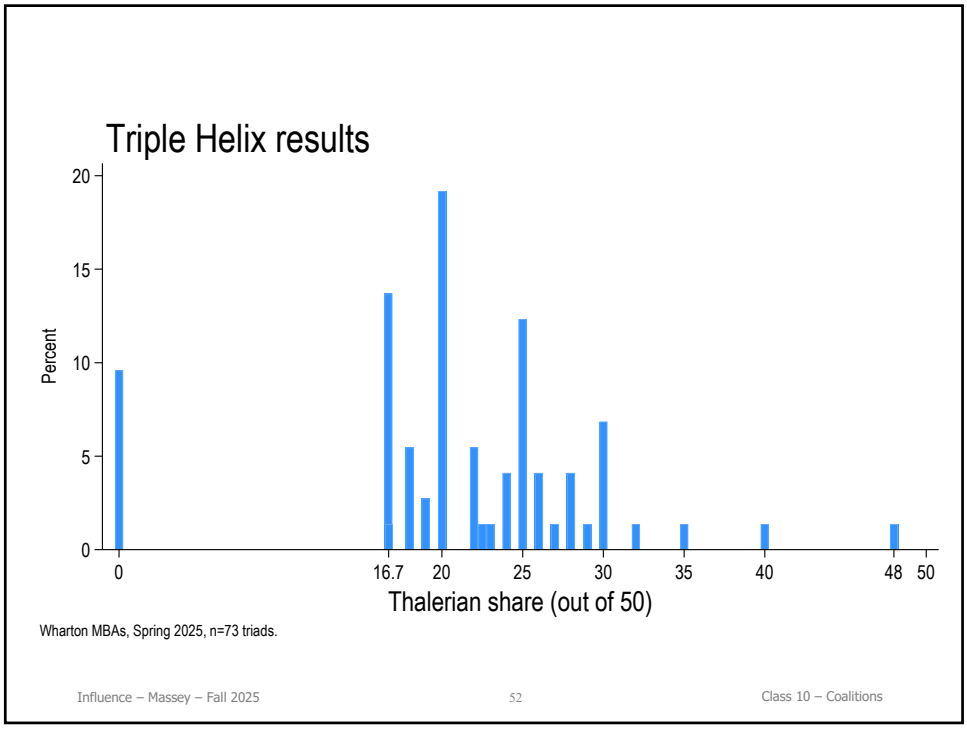
"Triple Helix"



50


Triple Helix Results
Percent
20
15
10
5
0
0
17
20
25
30
35
40
45
50
Thalerian Share (out of 50)
Wharton MBAs, Fall 2025, n=77 groups.
Influence – Massey – Fall 2025
51
Class 10 – Coalitions

51


Triple Helix results
Percent
20
15
10
5
0
0
16.7
20
25
30
35
40
48
50
Thalerian share (out of 50)
Wharton MBAs, Spring 2025, n=73 triads.
Influence – Massey – Fall 2025
52
Class 10 – Coalitions

52

Your section's results

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Structure of this Negotiation

By what means were deals settled?

- Fairness?
- Power?
- Coalitions?

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What is power here?

Everyone prefers to have more power…

…but merely possessing more power can leave you isolated.

- It's not necessarily how much power you have that matters, but how you use it.
- What matters is getting others to do what they wouldn't otherwise.

What effective uses of power did you see?

What ineffective uses of power did you see?

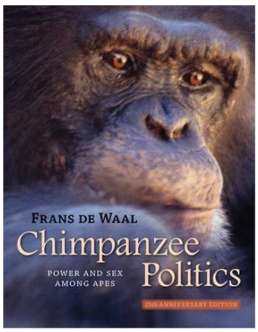
55

Coalitions are fundamental to our nature

"From experience the conflicting partners know on whose side the third party stands, consequently the third party can influence the situation by a mere look or gesture of support."

"Dependence on third parties plays such a prominent role in the chimpanzee hierarchy that the basic relationships are completely overshadowed."

- De Waal, p178.



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Why coalitions form, hold?

+'s **-'s**

57

Breakout – Your negotiation groups

What is one thing each person did well?
What is one thing each could have done better?

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Prescriptions (Rx) for Coalitions

Most important, and most generally

1) Be valuable
2) Live so that you have friends at the table

Plus some concrete tactics

3) Cast a wide net
4) Give to get
5) Have the meeting before the meeting

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Rx #1: Be valuable

(This is pretty much Rx #1 for the whole course)

More value => more likely to be included

More value => larger share of the pie

Value is relative to other coalition partners and potential partners

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Rx #2: Have friends at the table

Coalitions involve activating your network

- So, how well is your network built, maintained?

Your reputation precedes you

- Have you been reliable in the past?
- Have you treated people well in the past?

If starting from scratch, how quickly can you establish your trustworthiness…

- …and across how many demographics?

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Rx #3: Cast a wide net

Consider a wide range of parties

Lax & Sebenius (2006) suggest:

- Those who must formally approve
- Those who influence (the informal negotiation)
- Those who have the highest value for what you offer
- Those who can block
- Those with misaligned incentives
- Those who must implement

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Rx #4: Have the meeting before the meeting



Negotiations are always influenced, often constrained, and sometimes even settled, long before the official talks begin.

Use advance meetings for:

- Intelligence gathering
- "Temperature taking"
- Credibility building
- Groundwork laying
- In sum: Alliance creating

Rx #5: Give to Get

The norm of reciprocity

- We are inclined to respond in kind to other people
- E.g., Adam Grant's "givers" (vs. "takers" or "matchers")

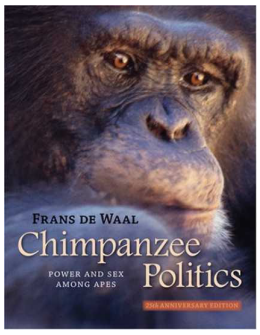
Takes multiple forms

- Favors, gifts, etc.
- Respect
- Concessions
- And all forms of negative behavior

Rx #5: Give to Get

Fundamental behavior

- "Chimpanzee group life is like a market in power, sex, affection, support, intolerance and hostility."
- "The two basic rules are 'one good turn deserves another' and 'an eye for an eye, a tooth for a tooth'."



Frans de Waal, p202

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Rx #5: Give to Get

"Recently Toshisada Nishida described the case of an alpha chimpanzee in the Mahale Mountains who maintained his rank for an extraordinarily long time (over a decade) through an elaborate system of 'bribery' ".



"He distributed meat selectively to those individuals whose support he could use against potential challengers."

- Frans de Waal (p180)

66

Rx #5: Give to Get

How valuable is a stable, sustainable coalition?

- Could long-term benefits be worth short-term "unfair" payoffs?
- Why we sometimes see surprisingly even payoffs to seemingly disparate partners. E.g.,



vs.



- "Efficiency wages" can be in the leader's best interest if they keep coalition partners in the fold.

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Rx #5: Give to Get

Bono, reading Surrender, about McCartney's tour of Liverpool

"Greatest collaboration in pop culture history, born over a Cadbury chocolate."

https://www.youtube.com/watch?v=k91mRITMAFY&t=2s

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Closing Thought

Look broadly for potential coalitions – they are the key resource for the weak and the key threat to the strong.

